Greenblatt believes the efficient market hypothesis provides an inaccurate model of how the market really works. Greenblatt's view is that although the market will eventually trade at fair value, a price that would be consistent with the efficient market hypothesis, in the interim, which can sometimes be as long as years, stocks can deviate substantially from their fair value. According to Greenblatt, a more appropriate model is that prices trade around fair value, but broad deviations occur because of wide swings in investor emotions. Greenblatt invokes Benjamin Graham's famous metaphor of Mr. Market, a hypothetical business partner, subject to erratic moods, who is willing to sell shares to you or buy shares from you. As Greenblatt describes it in *The Little Book That Beats the Market*:

> Sometimes Mr. Market is in such a good mood that he names a price that is much higher than the true worth of the business. On such days, it probably would make sense for you to sell Mr. Market your share of the business. On other days, he is in such a poor mood that he names a very low price for the business. On those days, you may want to take advantage of Mr. Market's crazy offer to sell you shares at such a low price and to buy Mr. Market's share of the business.

You don't have to trade. Greenblatt advises that investors should wait for the right opportunity and the right time. Referencing Warren Buffett's comment, "There are no called strikes on Wall Street," Greenblatt says, "You can watch as many pitches as you want, and only swing when everything sets up your way."

Greenblatt believes that one of the biggest mistakes investors make is using past performance as the guide for selecting managers. Greenblatt cites empirical evidence demonstrating that there is no meaningful correlation between past and future manager performance rankings. He recommends selecting managers based on their investment process rather than their returns.

Since past performance is not predictive, Greenblatt believes that, on average, stock indexes are a better investment choice than mutual funds because of their lower fees and more tax-efficient structure. Despite these advantages, Greenblatt views most popular stock indexes as being structurally flawed. The most popular indexes, such as the SP500 and Russell indexes, are capitalization weighted, which means that the more